

afford to throw weekly catered dinner parties at their beach-front abode. No one would have suspected that this lifestyle was financed by credit cards!

They had recently graduated from the University of Southern California (USC) and many of their friends came from families with money. They were used to being around people who never looked at the price tag. John and Sue decided that if they wanted to continue to be included by their college friends, they would have to adopt their spending habits. It was all right to be a starving student, but now that they had entered the working world, they were expected to make money. Unfortunately, the money they needed to afford their lifestyle was not reflected in their paychecks.

By the time John and Sue had maxed out their credit cards and had raised their limits as high as they could, they were in way over their heads—\$45,000 of debt between the two of them. For a long time they had been able to make the minimum payments, but now they couldn't even afford those amounts. Although they both had well-paying jobs, the magnitude of their debt had finally exceeded their capacity to pay. On the verge of being discovered as frauds by their friends, they became desperate and made an appointment to see a credit counselor.

Their reality was undeniable on paper. They were \$400 short each month in what they needed to pay their bills. The counselor zeroed in on an expense that consumed the largest part of their earnings, their rent. Referencing the national average, financial experts advise that rent payments shouldn't exceed 25 percent of monthly net income.

That translates for a gross annual income of \$25,000 (net income \$21,250) into a rent payment of no more than \$442 a month. According to this formula, John and Sue would have needed a combined net income of \$120,000 in order to afford

